

capital return in the report was revised to reflect the full 2004 year. I completed the set through 2009 based on data from other sources.

TABLE 9-1

Long-Term Returns on U.S. Real Estate

	Real Estate Total Return*	Total Stock Market	Inflation (CPI)
1930–2009	9.1%	9.2%	3.2%

*Brandes Institute report through 2004; author estimate through 2009.

TABLE 9-2

U.S. Real Estate Returns by Decade

Decade	Total Return	Annual Income Return	Capital Return
1930–1939	8.1%	8.4%	–0.3%
1940–1949	13.7%	6.3%	7.0%
1950–1959	6.2%	6.1%	0.2%
1960–1969	6.5%	6.2%	0.3%
1970–1979	10.1%	6.3%	3.6%
1980–1989	11.1%	6.5%	4.3%
1990–1999	5.5%	6.6%	–1.1%
2000–2009*	9.3%	7.5%	1.8%

*Brandes Institute report through 2004; author estimate through 2009.

Nearly all commercial lease contracts have a built-in inflation hedge. Landlords pass inflation increases to tenants based on a general level of prices increases. The ability of landlords to increase rent makes real estate investment particularly attractive as an inflation hedge in an investment portfolio.

In addition to rental properties, home ownership has been a long-term reliable investment as well as providing a place to live. Over the years, homeowners have enjoyed returns of over 3 percent per year, according to government housing data. This is on par with the rate of inflation.